

China Daily Brief

Sunday, September 13, 2026

2,764 words · 11 min read

RE: RE: BRICS Xi-Modi reset · Beijing threatens to scrap Sept. 24 summit over Taiwan arms sales · Anthropic exposes PLA data leak

USD/CNY
6.7076
▼ -0.05%

SSE COMPOSITE
3,888.11
▼ -1.13%

HANG SENG
24,805.63
▼ -3.30%

BRENT
\$104.61
▲ +6.83%

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• TODAY AT A GLANCE

- 1 China warned Washington it may cancel Xi's Sept. 24 state visit if the US approves new Taiwan arms sales before then, Kyodo News reported Saturday.
- 2 Xi Jinping wrapped up a one-day trip to New Delhi, meeting Modi for the third year running and pledging to help BRICS build AI and smart-manufacturing capacity.
- 3 Anthropic disclosed that Chinese apps Kimi and DeepSeek secretly rerouted user queries, including PLA surveillance footage and Taiwan-targeting military software, to its Claude system.

CROSS-STRAIT

Beijing warns it may cancel Sept. 24 Xi-Trump summit over new Taiwan arms sale

China has told Washington it may cancel the summit set for Sept. 24 if the US approves any new Taiwan arms sale beforehand, Kyodo News reported Saturday, citing sources familiar with US-China relations, as **Xi Jinping** prepares for his first state visit to Washington. Xi told **Trump** in Beijing in May that Taiwan is the 'most important issue' in the relationship and that mishandling it could push ties toward conflict, while Trump has floated Taiwan arms sales as a bargaining chip. Washington's \$11 billion arms package to Taiwan last December was a record high, the report noted.

TAIPEI TIMES, CITING KYODO NEWS; CORROBORATED BY LIANHE ZAOBAO AND HKEJ

DIPLOMACY

Xi and Modi seek reset at BRICS summit sidelines in New Delhi

Xi Jinping and Indian Prime Minister **Narendra Modi** met on the sidelines of the 18th BRICS summit in New Delhi Saturday, their third meeting in two years and Xi's first trip to India in seven years. Xi called China and India 'partners, not rivals' bearing significant responsibilities as Global South powers, while Modi said border peace remains essential to stabilizing ties.

AP

INDO-PACIFIC

Chinese coast guard expands patrols into Taiwan's Pacific-facing waters

China has deployed an average of two coast guard cutters per month in waters east of Taiwan since June, the first such patrols recorded there since data collection began in January 2025, following Japanese and Philippine plans to define their overlapping maritime border in the region. The patrols covered 27,100 square nautical miles, more than twice Taiwan's land area, while staying 30 nautical miles from Taiwan's coast, per Bloomberg ship-tracking data cited in the report. Vessels carrying oil, gas, iron ore and farm goods made 527 transits through the eastern waters in June, exceeding the 420 that passed through the Taiwan Strait.

TAIPEI TIMES

TECHNOLOGY

Anthropic says Chinese AI apps secretly routed PLA data to its Claude models

Anthropic disclosed in a 154-page threat-intelligence report that Chinese AI products including Moonshot AI's Kimi and DeepSeek covertly redirected user queries to its Claude system while presenting Claude's outputs as their own, exposing sensitive Chinese and Russian government data to the US company. One case involved a user uploading closed-circuit surveillance footage from around a Chinese military base for behavioral analysis; Anthropic said Moonshot AI rerouted nearly 300,000 customer requests within 10 days via a proxy network of 5,380 fake accounts. Separately, the report said a China-linked user modified electronic-warfare and air-defense simulation software

to target 12 Taiwanese sites, including early-warning radar and Patriot/Tien Kung missile positions, before Anthropic banned the account; MOFA spokeswoman **Mao Ning** said she was not familiar with the specifics and denied any wrongdoing.

DW CHINESE, CITING ANTHROPIC THREAT-INTELLIGENCE REPORT

PRC-ECONOMY

German firms boost China investment even as US outlays fall, study finds

German companies raised direct investment in China even as their investment in the US declined, according to a study by Germany's IW institute reported by Reuters Sunday. The shift follows a year of new US Section 232 tariffs on autos, steel and aluminum and expanded Section 301 duties, while Beijing continues to court European manufacturers.

REUTERS

HONG KONG/LEGAL

Hong Kong court sentences Tiananmen vigil organizers up to 7 years, 3 months · Nikkei Asia

A Hong Kong court on Friday sentenced three former leaders of the group that organized the city's annual Tiananmen candlelight vigils to prison terms of up to seven years and three months. China's foreign ministry separately said it firmly supports Hong Kong's national security prosecutions and urged foreign governments to stop commenting on the city's court cases, spokeswoman Mao Ning said Friday.

TECHNOLOGY

Beijing bans drone possession citywide after earlier restrictions · AP

Beijing has banned residents from possessing drones within the city, AP reported, extending a series of tightening measures on unmanned aircraft. Separately, the city government said a revised drone management regulation takes effect Nov. 15, opening three official channels for handling unauthorized devices.

MIDDLE EAST/SECURITY

Iranian cargo ship hit by projectile near Strait of Hormuz · Xinhua ZH

An Iranian container ship was struck by an unidentified projectile near the Strait of Hormuz on Sunday, killing one crew member and injuring four, Iran's IRNA reported via Xinhua. The UK Maritime Trade Operations agency separately reported a vessel fire after a similar strike while transiting the strait and said the incident remains under investigation.

TECHNOLOGY

Three Chinese humanoid-robot makers reportedly face funding review after rival complaint · Yicai

Chinese embodied-AI firms Qianxun Intelligence, XingHai Tu and XingDong Jiyuan face a key funding review this month after an unnamed rival reportedly filed a complaint against them, Yicai reported Sept. 13. Qianxun called the report 'untrue'; the other two firms said they could not confirm details.

SPACE/TECHNOLOGY

China's Gravity-1 rocket to launch from sea platform Sept. 16 · CCTV

The Gravity-1 (遥三) solid-fuel rocket, built by Orienspace, is scheduled to launch from the 'Oriental Spaceport' ship in the East China Sea on the morning of Sept. 16, according to a Haiyang city notice cited by CCTV.

LEGAL/TRADE

World Bank panel rejects Chinese investor's bid to annul Korea arbitration award · Yonhap (Chinese)

The ICSID annulment committee on Sept. 12 rejected a Chinese investor's application to annul an arbitration award in a dispute with the South Korean government, South Korea's justice ministry said Sept. 13. The ruling means Seoul will not need to pay roughly 264.1 billion won the investor had sought to reclaim.

LEGAL · WSJ

US scholar disappears after being invited to China, WSJ reports

A U.S. scholar disappeared after accepting an invitation to travel to China, the Wall Street Journal reported in an exclusive investigation published Sunday.

INVESTMENT · CNBC

GM pushes domestic battery supply chain as Trump officials target Ford's China ties

GM said it is developing US-based battery cell and materials production as most battery raw materials still come from China, CNBC reported. The move follows criticism from **Trump's** Department of Transportation directed at Ford over its China supply-chain ties.

DIPLOMACY · BLOOMBERG

Trump dismisses AI-safety alarm to protect US edge over China

Trump brushed aside warnings about AI risks in order to preserve the US technological lead over China, Bloomberg reported Saturday. The report comes as Washington and Beijing separately explore AI-safety talks ahead of **Xi Jinping's** planned September 24 visit.

CROSS-STRAIT · TAIPEI TIMES

Taiwan's existence 'painful' for China, culture minister says

Minister of Culture **Li Yuan** said Taiwan's existence and culture are 'painful' for China, calling the island 'a mirror that reveals the true nature of things' in a Radio France Internationale interview. Li said China's emphasis on the grandeur of its civilization contrasts with what he called the lived, undefined nature of genuine culture.

CROSS-STRAIT · SCMP

PLA tests laser-equipped Type 19 vehicle for drone defense in Taiwan scenario

Unverified images posted Aug. 29 show a new PLA Type 19 amphibious 8x8 vehicle variant fitted with a turret-mounted laser weapon and added sensors alongside its standard autocannon, SCMP reported, citing defense intelligence provider Janes. The design suggests the PLA is seeking mobile counter-drone protection for frontline mechanized units on a drone-saturated battlefield.

JAPAN · SCMP

Japanese fashion brand WEGO scraps anime line after Chinese consumer backlash

Japanese retailer WEGO cancelled a planned clothing line with the anime franchise My Hero Academia after Chinese social media users objected, SCMP reported. The backlash revived a 2020 controversy over a character depicted conducting lethal human experiments.

KOREA · YONHAP (CHINESE)

Kim Jong Un replies to Xi's congratulations on DPRK anniversary

Kim Jong Un sent a return message to **Xi Jinping** thanking him for congratulations on North Korea's 78th founding anniversary (Sept. 9) and pledging to keep advancing DPRK-China relations, KCNA reported. Kim said he was confident China would keep making progress under Xi's leadership toward 'national rejuvenation.'

MIDDLE EAST · CNBC

Xi urges BRICS to work toward Middle East peace, citing China-Iran trade ties

Xi Jinping told BRICS leaders China is willing to work toward peace in the Middle East, CNBC reported, noting Beijing is Iran's largest trading partner and a key buyer of its energy exports. Iranian President **Masoud Pezeshkian**, also in New Delhi for the summit, said Tehran could reopen the Strait of Hormuz in exchange for a U.S. halt to blockade and military action against Iran, according to a separate DW report.

MULTILATERAL · AFP

BRICS leaders reach rare Middle East statement, push 'inclusive global growth'

BRICS leaders including **Xi Jinping**, **Vladimir Putin** and **Narendra Modi** entered a second day of New Delhi talks Sunday after reaching a joint statement calling for calm in the Middle East, following a May failure among foreign ministers to agree on similar language. Modi told the bloc, which he said represents 40 percent of global GDP, that 'the power of BRICS lies in our diversity and cooperation.'

300,000

Queries Moonshot AI's Kimi secretly rerouted to Claude in 10 days

Anthropic said the redirect ran through a proxy network of 5,380 fake accounts, exposing Chinese and Russian government data — including PLA-linked surveillance footage — to the US AI company.

DW Chinese, citing Anthropic threat-intelligence report

• ECONOMY & BUSINESS

ENERGY · CNBC

Oil tops \$100 again as China's demand recovery, Iran ties loom over market

U.S. crude closed above \$102 a barrel Thursday, its highest close since May, with China's oil-demand recovery and its role as Iran's top energy customer seen as key variables in whether prices keep climbing, CNBC reported.

FINANCE / CHINA CONSTRUCTION BANK, ICBC, BANK OF NANJING · SINA (VIA CHINA ECONOMIC DAILY)

China widens consumer-loan interest subsidy to 5,000 yuan cap

China raised the annual cap on subsidized interest for personal consumption loans and credit-card installment plans to 5,000 yuan per borrower, up from 3,000 yuan, and widened eligible products through 2026, banks including China Construction Bank and ICBC said this week.

MACRO · SCMP

Hong Kong faces aging, low births and job losses ahead of five-year plan

Hong Kong faces an aging population, a falling birth rate and job losses simultaneously, SCMP reported ahead of the city's Sept. 16 five-year plan and policy address, citing a 28-year-old resident earning roughly HK\$10,000 a month who says he cannot yet afford a child.

TECH / HUAWEI · LIBERTY TIMES

Huawei's 2025 annual report shows 880.9 billion yuan in revenue

Huawei reported 2025 global revenue of 880.9 billion yuan, up 2.2% from 2024, net profit of 68 billion yuan, and R&D spending of 192.3 billion yuan, 21.8% of revenue, with China accounting for about 70% of sales.

MACRO · BEIJING MUNICIPAL GOVERNMENT

Beijing's CIFTIS 'Beijing Day' draws 44 billion yuan in signed deals

Beijing's dedicated day at the China International Fair for Trade in Services drew signed contracts worth 44 billion yuan, the municipal government said, as the five-day fair wrapped up at Shougang Park.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SUNDAY, SEPTEMBER 13, 2026

外交部 · MOFA · *Mao Ning, MOFA Spokesperson*

China raises visa fees for Japanese citizens in reciprocal move

Effective Sept. 14, China's embassy in Japan will raise visa fees for Japanese citizens under a reciprocal arrangement, Mao Ning said, after Japan raised its own visa fees roughly fivefold in July 2026.

→ [MOFA presser ZH](#) ↗

外交部 · MOFA · *Mao Ning, MOFA Spokesperson*

MOFA lodges protest with Italy, EU over Hsiao Bi-khim's Italy visit

Mao Ning said China made solemn representations to Italy and the EU after Taiwan Vice President Hsiao Bi-khim attended a conference in Italy, calling it a DPP attempt to 'seek independence by relying on foreign forces.'

→ [MOFA presser ZH](#) ↗

中国人民银行 · PBOC · *PBOC*

PBOC to run four straight days of overnight reverse repos

The central bank will conduct overnight reverse repos Sept. 14-17 at a fixed rate, capped at 600 billion yuan per day, to smooth liquidity around the Sept. 15 tax deadline, economist Dong Xiyao said.

→ [PBOC ZH](#) ↗

中国人民银行 · PBOC · *Lu Lei, PBOC Deputy Governor*

PBOC signals shift from quantity- to price-based policy under 15th Five-Year plan

Lu Lei said the central bank will keep the currency stable to support growth while gradually shifting toward interest-rate tools; commercial banks' provision coverage stood at 205.21% and capital adequacy at 15.46% at end-2025, regulators said.

→ [PBOC ZH](#) ↗

国家数据局 · NATIONAL DATA BUREAU · *Liu Liehong, National Data Bureau Director*

National Data Bureau to set data standards for embodied-AI industry

Liu Liehong chaired a forum with the Chinese Academy of Sciences' Institute of Automation, the Beijing Institute for General AI and JD.com on building embodied-AI data standards and pledged support for local data systems and greater corporate data investment.

→ [Bloomberg / HKEJ ZH](#) ↗

外交部 · MOFA · ANTHROPIC REPORT ON CHINESE AI APPS AND PLA DATA

FIRM · TO US

Mao Ning · MOFA Spokesperson

“China always adheres to the beneficial development of AI, and at the same time, we firmly oppose the distortion of facts to attack and smear China.”

中方始终坚持人工智能向善发展，同时我们也坚决反对歪曲事实，对中国进行攻击抹黑。

Anthropic's threat-intelligence report said Chinese AI products Kimi and DeepSeek secretly routed user queries, including PLA-related surveillance footage, to its Claude system.

DW Chinese

外交部 · MOFA · HSIAO BI-KHIM'S ITALY VISIT

FIRM · TO EU

Mao Ning · MOFA Spokesperson

“China has lodged solemn representations with Italy and the EU over 'Taiwan independence' politicians attending a meeting in Italy; such conduct is despicable and will ultimately prove futile.”

中方已经就“台独”政客赴意大利出席有关会议，向意方、欧方提出了严正交涉。民进党当局和个别政客挖空心思四处蹭热度，打着“民主”“自由”的幌子“倚外谋独”，这种行为令人不齿、终归徒劳。

Taiwan Vice President Hsiao Bi-khim attended a European democracy conference in Ventotene, Italy, alongside Foreign Minister Lin Chia-lung.

MOFA presser ZH

习近平 · XI JINPING · CHINA-INDIA RELATIONS AT BRICS

CONCILIATORY · TO INDIA

Xi Jinping · President

“China and India are partners, not rivals; they are development opportunities for each other, not threats.”

中印两国是合作伙伴而不是对手，互为发展机遇而不是威胁。

Xi made the remarks meeting Indian Prime Minister Narendra Modi on the sidelines of the 18th BRICS summit in New Delhi, their third meeting in two years.

MND ZH (mod.gov.cn)

习近平 · XI JINPING · CHINA TO HOST BRICS IN 2027, 'GOLDEN DECADE'

ROUTINE · TO OTHER

Xi Jinping · President

“China is willing to use this as an opportunity to build consensus and create the future together with all parties, opening the third 'golden decade' of BRICS cooperation.”

中方愿以此为契机，同各方凝聚共识、开创未来，开启金砖合作第三个“金色十年”，共创繁荣进步的光明前景。

Xi announced China will chair BRICS and host the 19th leaders' summit in 2027 during the New Delhi gathering's first-phase session.

PLA Daily (81.cn)

Lu Lei · PBOC Deputy Governor

“We will firmly maintain currency stability and use it to promote economic growth, effectively supporting high-quality development of the real economy.”

在目标上，将坚定保持货币币值的稳定，并以此促进经济增长，有效支持实体经济高质量发展。

Lu Lei outlined the central bank's shift from quantity-based to price-based policy tools at a State Council briefing on the Financial Power 15th Five-Year Plan.

PBOC ZH (Sina)

• WHAT OTHERS ARE SAYING

AFP · SEP 13, 2026

Narendra Modi · Prime Minister of India

“The power of BRICS lies in our diversity and cooperation.”

Modi's remarks capped the second day of the 18th BRICS summit in New Delhi, which Xi Jinping also attended.
source

TAIPEI TIMES · SEP 13, 2026

Hsiao Bi-khim · Vice President of Taiwan

“We believe strongly that like every citizen in the world, we have the right to make friends. We have the right to talk to our friends.”

Hsiao made the remarks at a European conference in Ventotene, Italy, prompting a formal Chinese protest to Rome and Brussels the same week.

source

TAIPEI TIMES · SEP 13, 2026

Pina Picierno · Vice President, European Parliament

“Free peoples speak the same language. Free peoples recognize one another.”

Picierno, who organized the Ventotene conference, said Hsiao's attendance was kept confidential until her arrival to avoid Chinese interference.

source

DIPLOMACY

FT

FT: India-China rapprochement faces obstacles despite Gulf peace push

India-China rapprochement faces obstacles from economic and geopolitical rivalry even as BRICS leaders push for Gulf peace, the Financial Times reports.

CROSS-STRAIT

TAIPEI TIMES

Taiwan naturalizes its 400th high-level foreign professional

Taiwan naturalized its 400th high-level foreign professional, an electronics-industry expert, under a decade-old talent immigration program, the Ministry of Interior said.

PRC-ECONOMY

DW CHINESE

DW: German industry warns it can't keep pace with Chinese manufacturers

German manufacturers say they can't match Chinese rivals on design, technology and price, aided by rare earths and state subsidies, Deutsche Welle's Chinese service reports.

TECHNOLOGY

MOFA PRESSER ZH

China again leads world in top-100 innovation clusters, WIPO index shows

China topped WIPO's Global Innovation Index for a fourth straight year with 25 of the world's top 100 innovation clusters, MOFA said Sept. 11.

BEIJING MUNICIPAL GOVERNMENT

Beijing unveils upgraded industrial map to link tech supply and demand

Beijing unveiled an upgraded industrial map and three supply-demand checklists to link tech capacity with industrial needs, the municipal government said Sept. 13.

● UPCOMING

Sep
16

Hong Kong to unveil first five-year plan

Chief Executive John Lee is due to present Hong Kong's inaugural five-year plan and policy address, covering aging, birth rates and job losses.

Sep
17

PLA rocket launch closes part of South China Sea

China's Qinglan Maritime Safety Administration barred vessels from a South China Sea zone from 7:30-9:30am on Sept. 17 and 18 for a rocket launch.

Sep
18

95th anniversary of the Mukden Incident

A recurring flashpoint date in China-Japan relations.

Sep
22

UN General Assembly high-level week opens

World leaders gather in New York; watch for Wang Yi's schedule and any US-China sideline contacts.

Sep
24

Xi's state visit to Washington

Beijing has told Washington it may cancel the visit if the US approves new Taiwan arms sales beforehand, Kyodo News reported.

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